

# Investor Due Diligence FAQ

## & Risk Mitigation Brief (Budget Restructure)

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| <b>Document:</b>       | ATLAS Travel Club LLC — Anticipated Diligence Questions      |
| <b>Purpose:</b>        | Pre-empt common legal, competitive, and operational concerns |
| <b>Audience:</b>       | Angel investors in active diligence                          |
| <b>Date:</b>           | September 19, 2026                                           |
| <b>Classification:</b> | Confidential — Subject to Mutual NDA                         |

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# 1. Investor Due Diligence FAQ & Risk Mitigation

This brief pre-empts the questions most frequently raised by angel investors evaluating ATLAS Travel Club LLC. Each answer is grounded in specific legal precedent, operational design, or supplier architecture. The brief should be paired with the full Confidential Investor Prospectus (PPM) and the 5-Year Financial Model for complete diligence context.

## Q1: Can Booking.com or Expedia legally shut this down?

**A:** No. Rate Parity clauses apply exclusively to publicly accessible internet distribution. Three layers of legal protection apply: (1) **United States** — vertical price fixing that binds closed membership groups was deemed anti-competitive under the Sherman Antitrust Act (15 U.S.C. § 1); (2) **Europe** — Article L. 311-5-1 of the French Tourism Code (Loi Macron) and European Commission Decision AT.40153 completely outlawed rate parity enforcement against closed-loop associations; (3) **Supply-side corroboration** — bedbanks like Hotelbeds and RateHawk exist specifically to distribute wholesale inventory to closed groups.

## Q2: What prevents members from sharing their logins?

**A:** Three layered controls: (1) device fingerprinting and session limits restrict concurrent active sessions to authorized devices; (2) passport / legal name matching requires bookings to match the authenticated member's verified identity or approved family roster; (3) high annual ROI creates an economic incentive against sharing, because personalized savings, price-drop credits, and card balances are tied directly to the member's profile.

## Q3: What happens if a hotel does not honor the wholesale reservation?

**A:** All reservations are settled directly into the hotel's central reservation system (CRS) via tier-1 bedbanks (RateHawk / Hotelbeds) with instant, pre-paid confirmation codes. The front desk sees a standard pre-paid booking indistinguishable from an Amex Fine Hotels & Resorts or corporate voucher. Non-honoring risk is structurally identical to booking through any major OTA and is covered by the bedbank's rebooking and compensation policy.

## Q4: Why is your pre-seed capital requirement so lean (\$75,000), and how is it spent?

**A:** Unlike legacy travel agencies that lock up \$50k–\$100k in non-productive bank guarantees and hotel room blocks, ATLAS operates an asset-light software model with zero inventory liability. We require **\$0 in supplier deposits**. ATLAS leverages modern, asset-light API protocols (RateHawk B2B, Duffel NDC, and Stripe Issuing) that settle bookings synchronously via real-time card authorization at the moment of reservation — this architecture requires \$0 in locked supplier deposits or legacy airline IATA bonds.

Over **57% of this round** (\$43,000 across the Founder Executive Stipend and Contract Engineering) is invested directly into human execution — a modest \$2,500/month founder stipend and dedicated contract engineering — to ship Phase 2 on Google Cloud and scale to 1,000 paying members. The full allocation is documented in the standardized Use of Proceeds table in Section 8 of the PPM.

# 2. Additional Risk Mitigations

## 2.1 Talent Continuity & Cloud Infrastructure

The ATLAS platform is engineered natively on Google Cloud Run and Google Cloud SQL, adhering to Google Cloud Architecture Framework standards for zero vendor-lockin risk and automated autoscaling. Google Cloud Run provides serverless container execution with concurrent-request-based scaling. Google Cloud SQL for PostgreSQL (v16) is accessed through Cloud SQL Auth Proxy for zero-IP-exposure tunneling. Continuous integration is configured via Google Cloud Build connected to the Company's GitHub repository, with automated test gates and immutable container image promotion to Cloud Run.

## 2.2 Fintech & Security

All secret keys, supplier API tokens, and bedbank credentials are encrypted in Google Secret Manager with strict IAM least-privilege policies. Secrets are mounted directly into Google Cloud Run container environments at runtime — never written to source control, never logged, never exposed in plaintext. Google Cloud Armor provides enterprise-grade DDoS mitigation and bot protection at the edge. Stripe Issuing handles KYC/AML, cardholder verification, and dispute management under their regulated money-transmission framework.

## 2.3 Supplier Concentration and Capital Efficiency

**Supplier concentration.** ATLAS integrates with three independent bedbanks (Hotelbeds, RateHawk, WebBeds) to avoid single-supplier dependency. **Capital efficiency.** Because the Company carries zero inventory liability and requires no supplier deposits, the entire \$75,000 raise is deployed against productive human and infrastructure costs rather than idle capital reserves. This structural advantage is the reason a \$75,000 round is sufficient to reach 1,000 paying members and cash-flow profitability — a milestone that would require \$150,000–\$250,000 under a legacy travel-agency capital model.